

Background

■ Social Entrepreneurship in the West vs. Non-West

Social entrepreneurship (SE) has flourished in Western countries but remains in its infancy in many non-Western regions, particularly in Greater China (Chandra et al., 2020).

■ Emerging Gaps in Greater China

In regions like Greater China, the inability of both government institutions and profit-driven enterprises to meet urgent social challenges has created fertile ground for the emergence of SE and the rise of social enterprises (Salamon, 1987).

■ Why Greater China Requires Special Attention

While existing research has examined institutional barriers to SE development in other emerging economies, such as those in Africa (Littlewood & Holt, 2015), the **Greater China region presents a unique case**. Its complex and evolving institutional landscape offers **distinct challenges and opportunities** for SE to grow and adapt.

Methodology

Methods: Fuzzy-set Qualitative Comparative Analysis (fsQCA)

Goal: To identify combinations of contextual resources that enable cross-regional expansion of social enterprises in non-Western countries.

Data Selection and Resources:

The scope of this study encompasses the directory of enterprises listed on the **China Social Enterprise Service Center platform**, totaling 573 companies.

Source	Use / Purpose
GEM & GEDI	Benchmark indicators for SE environment (Pathak et al., 2016; Sahasranamam et al., 2021)
Government Reports	National-level policy & funding programs
Industry Databases	Sectoral composition, employment, and innovation metrics

Figure1: Data Sources Table

Measurements

Condition	Measurement Approach
Industrial Structure	Proportion of the tertiary sector's GDP in the total GDP of the enterprise's provincial region
Financial Aid	Total funding amount received from social organizations, businesses, and other stakeholders
Policy Support	Financial support or tax incentives provided by local governments through SE-promoting policies
Population Resources	Labor force size in the city where the social enterprise operates

Figure2: Measurements Table

Data is transformed into **fuzzy set membership scores** (Based on prior research and calibration experience of the factors, we assigned values to the factors accordingly , and a truth table is created to evaluate the relationships between these resource elements and regional expansion.

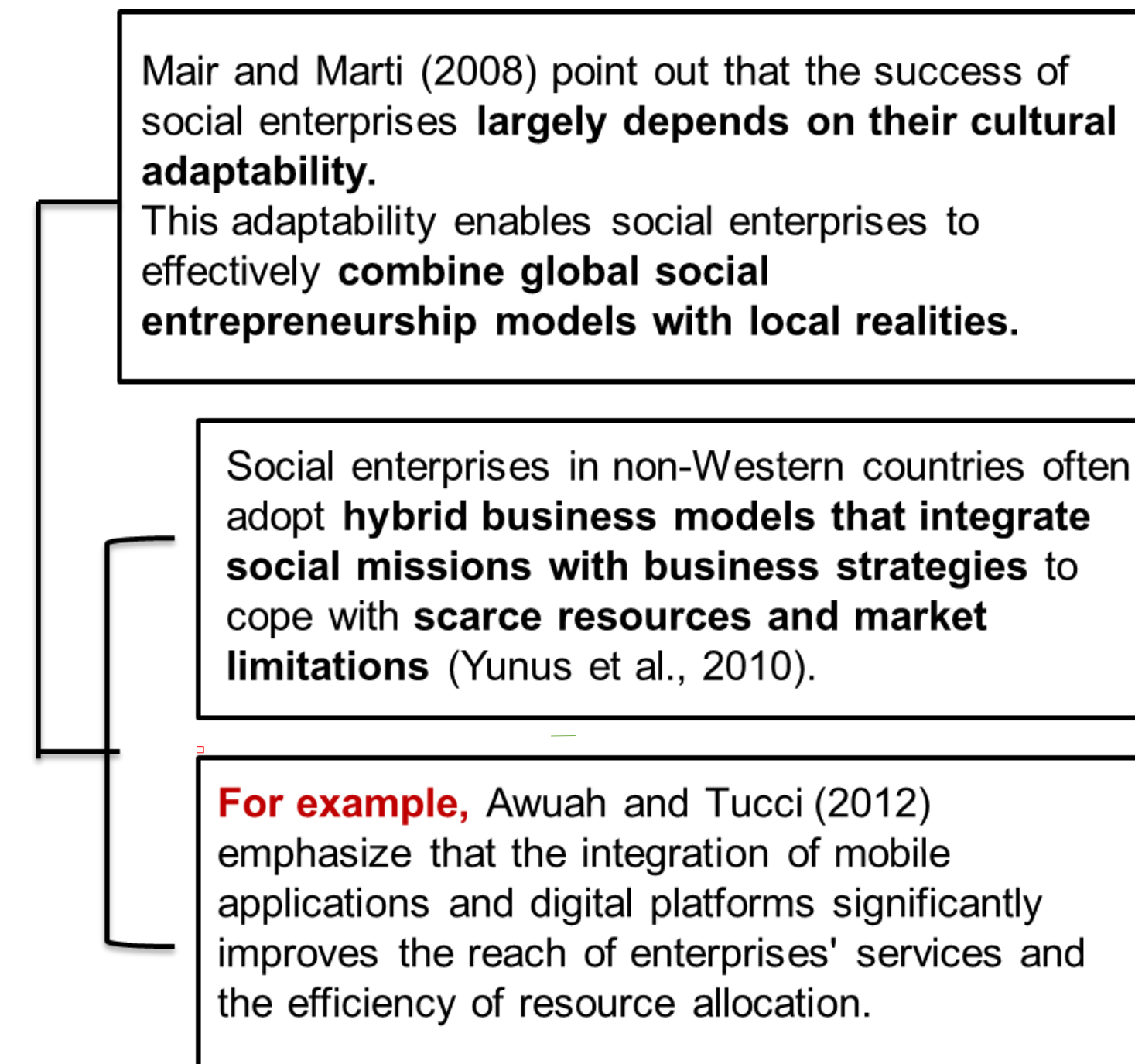
Literature Review and Hypothesis Development

1. Entrepreneurial Ecosystem (EES) → Social Entrepreneurial Ecosystem (SEE)

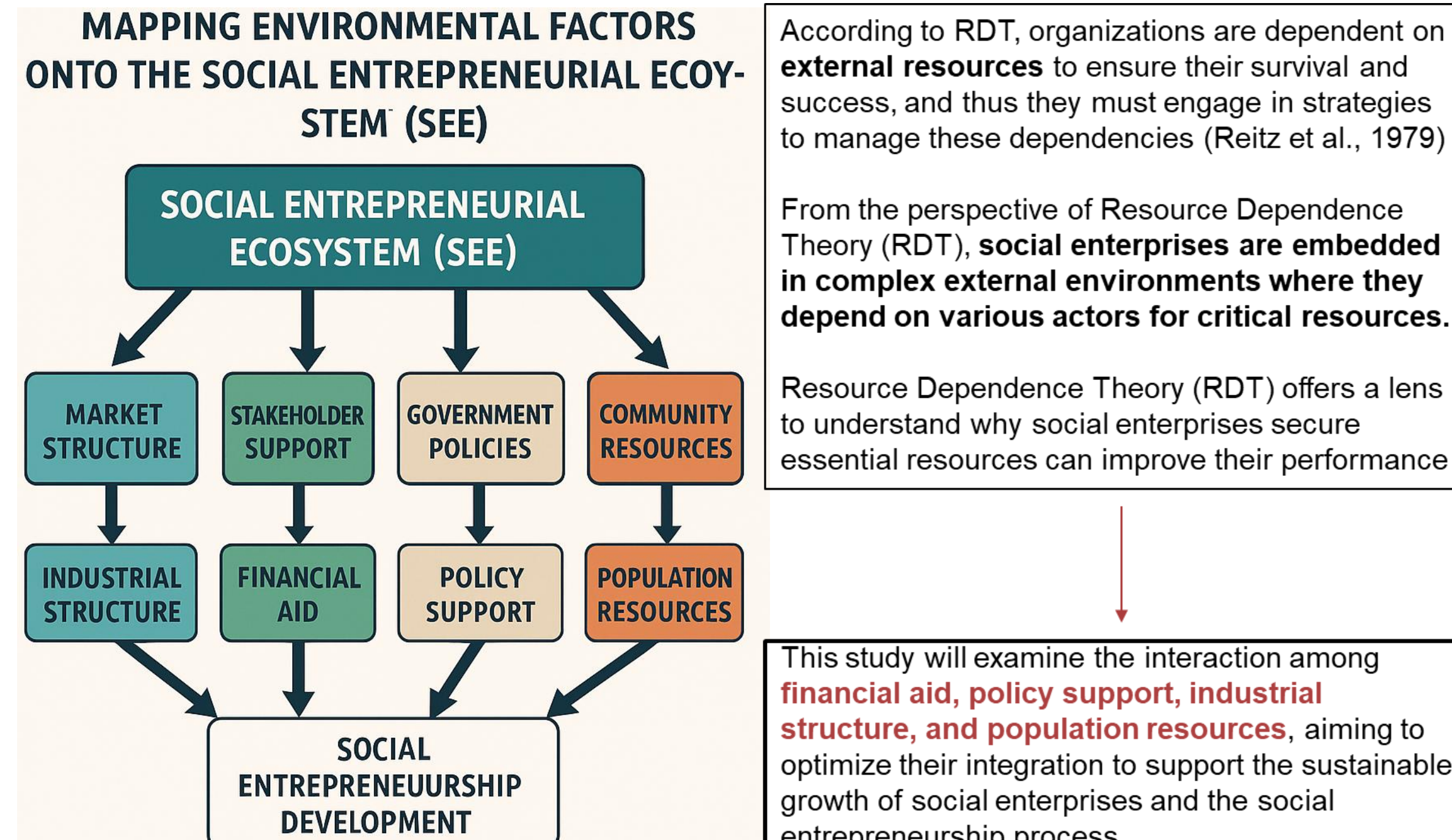
- Cohen (2005) introduced the EES as a system uniting diverse actors to support entrepreneurship.
- Isenberg (2017) identified 13 critical elements shaping entrepreneurial ecosystems.
- The Social Entrepreneurial Ecosystem (SEE) extends this framework to social enterprises—organizations driven by social missions (Dacin et al., 2011).
- SEE integrates governments, NGOs, private sector, investors, and communities to support social innovation (Zahra et al., 2008).

The social entrepreneurial ecosystem provides essential resources and support that are critical to the success and growth of social enterprises, particularly in non-Western countries where unique challenges and opportunities exist. **Consequently, recent research has concentrated on several key factors that define the distinctive development models of social enterprises operating within these contexts.**

2. Previous Research



3. Theoretical Foundation



4. Research model

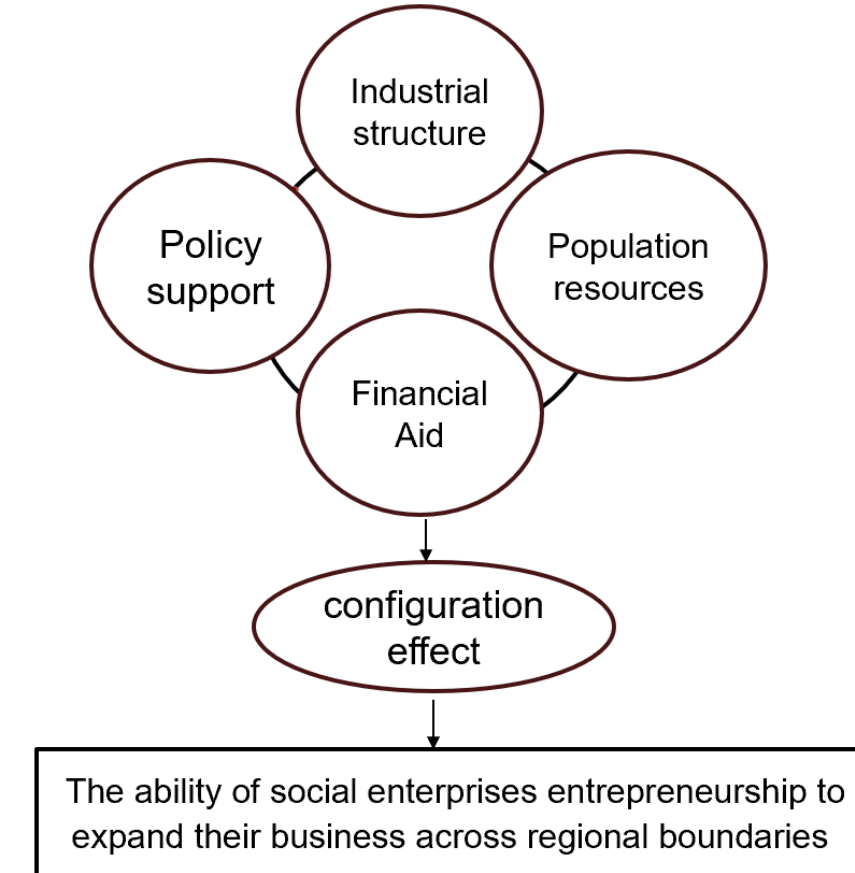


Figure3: Research model

6. Results [Note: Due to limited data availability, only the results of the pilot test are presented.]

H1: Expansion is strongly influenced by resource configurations: abundant resources (fuzzy scores ≥ 0.7) facilitate growth, whereas resource scarcity (fuzzy scores ≤ 0.4) impedes it, demonstrating the essential role of resource diversity and sufficiency in scaling.

H2: High policy support (fuzzy score ≥ 0.8) and population resources (fuzzy score ≥ 0.7) can compensate for deficiencies in other areas, challenging the view that all resources must be high for success.

H3: High policy support and population resources are sufficient for expansion, even with limited financial aid and industrial resources, emphasizing their critical role in overcoming constraints

5. Hypothesis

- **H1:** The level of resource configuration significantly affects the ability of social enterprises to expand across regional boundaries, such that high resource configurations enhance expansion capacity, whereas low resource configurations constrain it.
- **H2:** The impact of high and low resource configurations on the expansion of social enterprises across regional boundaries is **asymmetric**.
- **H3:** In low resource configurations, the combination of high policy support and population resources creates the conditions for successful boundary spanning by social enterprises, even though financial aid and industry structure are below certain thresholds.

Implications

✓ Theoretical Implications

- Reveals how **resource configurations** (financial, policy, industrial, population) drive **cross-regional expansion** of social enterprises in **non-Western contexts**.
- Highlights the interaction between **resource allocation** and **institutional challenges**, enriching **social enterprise theory** in **resource-constrained environments**.
- Offers insights into the **scalability** and **sustainability** of SEs across regions and life stages.

🏠 Practical Implications

- Helps **SE managers** optimize resource allocation and leverage innovation to **overcome external constraints**.
- Informs **policymakers** on enhancing **institutional support** and improving the resource environment to maximize **social value creation**.

Conclusions

⚠ Limitations

- **Subjectivity in Variable Calibration:** fsQCA involves subjective decisions in **condition selection and threshold setting**, which may affect generalizability.
- **External Macro Factors Not Included:** **Political, economic, and industry dynamics** were not fully considered, limiting broader applicability.
- **Lack of Differentiation by Industry or Scale:** Future studies could explore how SEs of different **sizes and sectors** navigate constraints and expand.

🔍 Future Research

- Integrate **macro-level variables** (e.g., geopolitical shifts, economic shocks).
- Conduct **industry-specific** or **stage-specific** comparative studies.
- Test findings with **longitudinal** or **mixed-method** designs for robustness.

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